

the last four or five years. In the past three years, Colombia's oil production has shot up from 600,000 barrels per day to 950,000 barrels per day, and I think it will continue to grow rapidly. The same thing is true for other industries as well, such as agriculture. The changed security situation in Colombia is sparking a complete rebirth of the Colombian economy.

What percent of your portfolio is in emerging markets versus developed countries?

Right now, it's at about 30 percent and growing, which is as high as it has ever been.

How do you pick stocks? Can you provide an example that illustrates your thinking process?

I can use one of our current largest positions, which is United Airlines, as an example. The conventional wisdom is that airlines are a terrible investment and that you never want to own them. In fact, Warren Buffett says that he has a full-time employee whose only job is to keep him from ever buying another airline again.

My son has a similar line. He asks, "How do you become a millionaire?" Answer: "Start with a billion and buy an airline."

There are many reasons why airlines are widely considered to be poor investments. They are capital intensive; they are people intensive; they are difficult to manage; they have to rely on an inefficient government air traffic control system; and if, despite all of that, they ever manage to make money, the unions start asking for more wages, so they don't make money then, either.

That's a persuasive "bullish" argument. So why is United Airlines one of your largest long positions?

It is a controversial call, but that is how you make money when you are right. My view is that the lack of profitability in airlines has its origins back in the days when airlines were regulated. Regulation fostered the proliferation of airlines because prices were protected, and it also resulted in very high cost structures. When the airlines were deregulated, the legacy carriers, who had very high cost structures, had to compete with